

Table 52.4 Breakout and Post-Breakout Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Breakout direction	63% up	58% up	37% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 53%, M 47%, H 52%	L 30%, M 26%, H 23%	L -17%, M -13%, H -11%
Throwbacks/pullbacks occurrence	66%	70%	64%
Average time to throwback/pullback peaks	7% in 6 days	8% in 6 days	-6% in 6 days
Average time to throwback/pullback ends	12 days	11 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	48%	22%	-13%
Average rise/decline for patterns without throwbacks/pullbacks	56%	31%	-13%
Percentage price resumes trend	72%	59%	48%
Performance with breakout day gap	48%	18%	-12%
Performance without breakout day gap	52%	26%	-13%
Average gap size	\$0.32	\$0.17	\$0.30

When a throwback or pullback occurs, performance suffers, but that's only true after upward breakouts. Downward breakouts don't show a performance difference for rectangles.

Once a throwback or pullback completes, price resumes rising. That's even true in bull markets after downward breakouts. In that case, price resumes